

Aldermere Materials Group

Sustainability Report 2025

Reporting period: 1 January 2025 – 31 December 2025

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About this report

This report covers the sustainability performance of Aldermere Materials Group plc and its subsidiaries for the year ended 31 December 2025. It has been prepared with reference to the GRI Standards.

About Aldermere

Aldermere manufactures clay bricks, precast concrete products and mineral insulation for the UK construction market. In 2025 we produced 408,000 tonnes of product from seven manufacturing plants and employed 1,940 people.

Reporting boundary

Environmental data covers the seven manufacturing plants and two distribution depots over which we have operational control. We report greenhouse gas emissions using the operational control approach.

External assurance

Our 2025 environmental and safety data has not been externally assured. The Audit and Risk Committee reviewed the data collection process, and we intend to obtain limited assurance over Scope 1 and 2 emissions for 2026.

Restatements

There have been no restatements of previously reported figures.

Our approach to climate change

The Board's Sustainability Committee oversees climate-related risks and opportunities and reviews progress against our decarbonisation roadmap twice a year. Climate performance is included in the annual bonus scorecard for executive directors.

Targets

We have committed to reduce absolute Scope 1 and 2 emissions by 42% by 2030 against a 2019 base year, and to reach net zero across our operations by 2050.

In the 2019 base year, Scope 1 and 2 emissions were 81,600 tCO₂e. Base-year emissions are recalculated when acquisitions or divestments change emissions by more than 5%.

Climate-related risks

Our most significant transition risk is the rising cost of carbon allowances and natural gas used in kilns. Physical risks include flooding at two riverside plants. Both risks are recorded on the Group risk register and reviewed by the Audit and Risk Committee.

Greenhouse gas emissions

Methodology

We calculate emissions in accordance with the GHG Protocol Corporate Standard. Emission factors are taken from the UK Government GHG Conversion Factors for Company Reporting (DESNZ, 2025), and global warming potentials from the IPCC Sixth Assessment Report (AR6). Our inventory includes carbon dioxide (CO2), methane (CH4) and nitrous oxide (N2O); emissions of other greenhouse gases are not material.

Performance

In 2025, our gross Scope 1 emissions were 48,210 tCO2e, a 3.8% reduction compared with 2024, driven mainly by kiln heat-recovery projects. Scope 1 emissions arise from natural gas combustion in kilns and dryers, diesel used by mobile plant, and process emissions from clay.

Scope 2 emissions are reported using the location-based method and were 21,940 tCO2e in 2025 (2024: 23,020 tCO2e).

Table 4: Greenhouse gas emissions

Indicator	2025	2024	2023
Scope 1 emissions (tCO2e)	48,210	50,115	52,900
Scope 2 emissions – location-based (tCO2e)	21,940	23,020	24,310
Total Scope 1 and 2 emissions (tCO2e)	70,150	73,135	77,210
GHG intensity (tCO2e per tonne of product)	0.172	0.176	0.184

GHG intensity covers Scope 1 and Scope 2 emissions per tonne of product.

Renewable electricity

Since April 2024, our two largest plants have purchased renewable electricity backed by Renewable Energy Guarantees of Origin (REGOs).

Value chain emissions

We have begun screening our Scope 3 emissions across the 15 categories of the GHG Protocol Corporate Value Chain (Scope 3) Standard. Purchased goods and services (Category 1) and upstream transportation and distribution (Category 4) are expected to be the most significant categories.

Scope 3 emissions have not yet been quantified. We expect to report them for 2026, starting with Categories 1 and 4.

Working with suppliers

In 2025 we asked our 40 largest suppliers to share product carbon footprints. Eighteen suppliers responded, and we will use their data to prioritise lower-carbon cement and aggregate purchases.

Energy

Total energy consumption within the organization was 412,300 MWh in 2025 (2024: 431,800 MWh). Fuel use is converted to energy using net calorific values from the DESNZ conversion factors.

Table 5: Energy consumption

Indicator	2025	2024
Natural gas (MWh)	268,400	281,900
Diesel (MWh)	25,000	26,700
Purchased electricity consumption (MWh)	118,900	123,200
Total energy consumption (MWh)	412,300	431,800
Share of renewable electricity (%)	22%	15%
Energy intensity (MWh per tonne of product)	1.01	1.04

Energy intensity, which covers fuel and electricity consumed within the organization, was 1.01 MWh per tonne of product in 2025 (2024: 1.04).

Reducing energy use and emissions

Kiln heat-recovery projects at our Ashby and Kelso plants and the replacement of fourteen diesel loaders with electric models reduced Scope 1 emissions by 2,350 tCO₂e in 2025 compared with 2024.

Efficiency projects delivered energy savings of 6,800 MWh in 2025 against the 2024 baseline, mainly through reduced natural gas use in kilns and dryers.

Water and waste

Water withdrawal was 412 megalitres in 2025 (2024: 428 megalitres), drawn from municipal supplies and on-site boreholes.

We generated 18,400 tonnes of waste in 2025, most of which was recycled as fired clay and concrete fines.

Health and safety

Our lost-time injury frequency rate (LTIFR) was 0.82 per million hours worked in 2025 (2024: 0.95).